

ASML Holding N.V. (ASML)

Updated Fundamental Analysis

Refresh / re-underwrite for a current holding. Report date: October 8, 2026. Evidence cut-off: October 8, 2026.

Latest reported quarter: Q2 2026. Q3 2026 is scheduled for October 14, 2026.

Research posture	ADR close	Portfolio weight	Conviction	Company quality
Hold / add on weakness	\$1,769.00	0.73% export	8.0 / 10	9.5 / 10

Executive View

ASML remains one of the highest-quality businesses in public markets. Its EUV monopoly, installed-base service economics, supplier ecosystem, and customer dependence on its roadmap are intact. The long-term thesis strengthened modestly since the September 22 underwriting because Samsung, TSMC, SK Hynix, and Intel have provided clearer evidence of High-NA adoption and because ASML and customers are working on a larger-mask platform that could improve High-NA productivity.

The stock, however, has moved faster than the earnings estimates. The ADR closed at \$1,769.00 on October 8, up about 3.4% from the \$1,711.32 reference in the prior report. Current 2026 consensus remains approximately EUR 42.9 billion of revenue and EUR 38.4-38.7 of EPS. The result is a good company at a fair-to-rich price, with the next major information event only six days away.

Portfolio verdict: Hold existing shares. Add only in stages and preferably after either a pullback or confirmation from the October 14 report. At the current price, I would not make a large lump-sum purchase. The position is now 7 ADRs, about 0.73% of the retirement-portfolio-58 export, with a cost basis of about \$12,121, or \$1,731.53 per share. A reasonable near-term ceiling is approximately 1.0%-1.25% of portfolio value until 2027 earnings visibility is refreshed.

Decision summary

Factor	Assessment
Recommendation	Hold / opportunistic Add
Conviction	8.0 / 10
Company Quality	9.5 / 10 - strategic EUV monopoly, high switching costs, strong customer roadmaps, net cash.
Valuation Attractiveness	6.5 / 10 - attractive relative to the quality only if 2027-2028 estimates continue to rise; not a margin-of-safety entry.
Portfolio Fit	8.0 / 10 - improves exposure to semiconductor infrastructure and non-US technology, but overlaps with TSM, NVDA, AVGO, QCOM and fund look-through.
Action	Hold current 7-share position. Add below roughly \$1,700, add more aggressively below \$1,550 if no thesis damage.

What Has Changed Since the Previous Underwriting?

Item	Previous underwriting	Current evidence	Decision impact
Price	About \$1,711.32	October 8 close: \$1,769.00	Less valuation cushion than in the prior report; price is up about 3.4%.
2026 estimates	Revenue about EUR 42.9B; EPS about EUR 38.3	Revenue about EUR 42.9B; EPS about EUR 38.4-38.7	Estimates are broadly unchanged, so the price move was not matched by a material estimate reset.
High-NA adoption	Positive but still an execution question	Samsung plans High-NA EUV for future DRAM high-volume manufacturing by 2028; TSMC plans advanced-node use from 2030; Intel has processed more than one million wafers	Strengthens the long-duration moat and reduces adoption risk, but does not materially change 2026 earnings.
Capacity and demand	EUV capacity nearly full through 2027	Existing EUV systems all but sold out through 2027 and customer commitments across the next-generation tool	Supports 2027-2028 visibility; still exposed to customer capex timing.
Near-term catalyst	Q3 not yet imminent	Q3 2026 report scheduled October 14	Avoid a large pre-earnings add unless price creates a clear margin of safety.
Technology roadmap	High-NA focus	Hyper-NA research could be ready in about 10 years, without a production commitment	Positive optionality, not a near-term valuation input.

Business Model, Moat, and Competitive Position

ASML sells lithography systems that pattern semiconductor wafers and then monetizes the installed base through service, field options, upgrades, and productivity improvements. EUV is the strategic center. It is required for the most advanced logic nodes and is increasingly relevant to advanced memory roadmaps. DUV, metrology and inspection, computational lithography, and installed-base management provide breadth beyond the EUV headline.

- **EUV monopoly:** ASML is the only commercial supplier of EUV lithography systems. Nikon and Canon compete in older DUV categories, but do not offer a commercial EUV substitute.
- **Customer lock-in:** Foundries and memory manufacturers plan node roadmaps, fab layouts, process recipes, and yield learning around ASML systems. Switching is not a normal procurement decision.
- **Supplier ecosystem:** Carl Zeiss optics, precision mechanics, light sources, software, and process integration create a system-level moat that is difficult to reproduce.
- **Installed-base compounding:** 2025 service and field-option sales reached EUR 8.2 billion, up 26.2% year over year.
- **High-NA extension:** Samsung, TSMC, SK Hynix, and Intel commitments support the idea that ASML is extending its leadership.
- **Market-share context:** Reuters cited a 94% global lithography share estimate for 2025; exact share depends on category definition, but ASML has no commercial rival in EUV.

Operating Performance and Financial Quality

All figures below are in EUR unless stated otherwise. Reported revenue rose from EUR 18.6 billion in 2021 to EUR 32.7 billion in 2025, a roughly 15.1% compound annual growth rate. The business maintained gross margins above 50% through the cycle and generated strong cash, although cash flow is lumpy because customer advances, shipment timing, and working capital can move between periods.

EUR millions except EPS	2021	2022	2023	2024	2025	TTM Jun-26
Revenue	18,611	21,173	27,559	28,263	32,667	35,328
Gross margin	52.7%	50.5%	51.3%	51.3%	52.8%	52.7%
Operating income	6,536	6,501	9,042	9,023	11,301	12,513
Net income	5,883	5,624	7,839	7,572	9,609	10,638
Basic EPS	14.34	14.13	19.89	19.24	24.71	27.54
Free cash flow	9,945	7,205	3,288	9,099	11,085	10,041

Q2 2026 and management outlook

Metric	Q1 2026	Q2 2026	Q3 guide / current outlook
Total net sales	EUR 8.77B	EUR 9.33B	EUR 11.0-12.0B
Gross margin	53.0%	54.0%	55%-57%
Net income	EUR 2.76B	EUR 2.92B	Not yet reported
Basic EPS	EUR 7.15	EUR 7.59	Consensus roughly EUR 10.6-10.8
Installed Base Management	EUR 2.49B	EUR 2.76B	Key mix and recurring-revenue indicator
Full-year outlook	Raised during Q1	EUR 43-45B sales; 54%-56% gross margin	Management outlook remains anchor

Management's Q2 commentary cited strong AI-related investment, customer capacity expansion, long-term commitments across the portfolio, and planned 30% increases to 2027 low-NA EUV and DUV immersion capacity, with another 30% under investigation for 2028. This is strong evidence of demand, but it also creates an execution and capacity-delivery test.

Growth Drivers and Capital Allocation

Driver	Mechanism	What must be true
Advanced logic and AI	More leading-edge capacity requires more EUV exposures, higher productivity, and new tools.	Hyperscaler and accelerator demand supports foundry capex through 2027-2028.
Advanced memory / HBM	HBM and DRAM intensity increase lithography demand and support High-NA adoption.	Memory capex remains profitable enough to sustain commitments.
High-NA EUV	New generation extends ASML technology lead and increases revenue per system.	Throughput, yield, cost per wafer, and adoption justify price.
Installed-base management	Services, upgrades, and field options monetize a growing installed base.	Utilization and upgrade demand remain healthy when new shipments slow.
Pricing and mix	Near-full capacity and mission-critical tools support pricing power.	ASML converts demand into sustained mid-50s gross margins.

Capital allocation is supportive rather than the main thesis. ASML combines dividends and share repurchases with high R&D; investment. Its net cash position gives it flexibility to fund capacity and technology while returning capital. The important discipline is whether incremental capacity earns attractive returns after supply-chain, labor, and working-capital requirements.

Valuation and What Is Priced In

The October 8 ADR close of \$1,769.00 implies a premium valuation. Market consensus sources place 2026 revenue near EUR 42.9 billion and 2026 EPS around EUR 38.4-38.7. MarketScreener estimates show 2027 revenue of approximately EUR 54.6 billion and EPS of approximately EUR 52.5, with 2028 revenue near EUR 64.9 billion and EPS near EUR 68.6.

Valuation lens	Current read	Interpretation
2026 forward P/E	About 41x	Requires the 2026 earnings reset to be real and the 2027 base to keep rising.
2027 forward P/E	About 31x on EUR consensus	More reasonable, but assumes strong backlog and shipment conversion.
2026 FCF yield	Roughly 1.3%	Low cash yield reflects premium valuation and peak-versus-base risk.
Normalized PEG	About 1.2-1.3x	Uses 2026-2028 consensus EPS CAGR, not the distorted rebound rate.
Street target	About \$2,104 average; median about \$2,154	Suggests upside, but targets vary widely and are not a margin of safety.

What is priced in: The market already assumes a successful 2026 reset, a strong 2027 shipment year, continued AI capex, and at least partial High-NA adoption. A Q3 beat alone may not be enough if management does not raise the 2027 demand signal.

Entry discipline

ADR price zone	Action	Rationale
\$1,900 and above	Watch / wait	Requires another upward estimate reset or clearer 2027-2028 visibility.
\$1,750-\$1,900	Hold; small add after confirmation	Current zone. Earnings risk argues against a large pre-print purchase.
\$1,600-\$1,750	Add in stages	Improves expected return while preserving capital.
\$1,450-\$1,600	Strong Add candidate	Attractive if bookings, margins, and export controls remain intact.
Below \$1,450	Re-underwrite first	Could be valuation opportunity or thesis damage.

Scenario Framework

These are analyst scenarios, not management guidance or guaranteed outcomes. The 12-18 month values use 2027 earnings as the principal bridge because the stock is already discounting much of the 2026 rebound.

Scenario	Operating assumptions	Indicative value	Probability	Read-through
Bear	AI-capex digestion; 2027 revenue EUR 45-48B; gross margin 52%-54%; China restrictions expand.	\$1,200-\$1,450	20%	Multiple compression and estimate cuts; distress unlikely.
Base	2026 revenue EUR 43-45B; 2027 revenue EUR 52-56B; mid-50s margin; High-NA on schedule.	\$1,750-\$2,050	55%	Current price near lower half of fair value.
Bull	2027 revenue above EUR 57B; pricing and mix improve margins; High-NA accelerates.	\$2,200-\$2,700	25%	Requires earnings upside and premium multiple.

Probability-weighted view: approximately \$1,900-\$1,950 midpoint. That implies modest upside from \$1,769, but not enough to justify abandoning entry discipline or making ASML the next major semiconductor dollar ahead of Q3.

Portfolio Fit and Positioning

Portfolio item	Retirement-portfolio-58 export
Position	7 ASML ADRs
Workbook last price	\$1,777.08
October 8 reference price	\$1,769.00
Market value at workbook price	\$12,444.74
Cost basis	\$12,120.70; approximately \$1,731.53 per share
Export allocation	0.72969%
Workbook fair value	\$2,050

ASML is a good portfolio complement because it is a semiconductor infrastructure bottleneck rather than a chip designer or hyperscaler. It is also economically correlated with TSM, NVDA, AVGO, QCOM, SOXQ, and broader AI exposure. That overlap argues for staged position building and a cap rather than an unlimited quality allocation.

Risks, Red Flags, and Thesis Falsifiers

- **Export controls and China:** China represented 29.1% of 2025 sales. ASML expects China to be about 20% of 2026 sales, but broader DUV restrictions could affect systems, service, and customer relationships.
- **Customer concentration:** the largest customer represented 23.9% of 2025 sales and the two largest represented 38.0%. Taiwan and South Korea represented 25.5% and 25.0% of 2025 sales, respectively.
- **AI capex cyclicality:** full bookings do not eliminate a change in customer returns, funding, or utilization assumptions.
- **High-NA economics:** throughput, yield, mask constraints, and cost per wafer still need to prove out at scale.

- **Capacity execution:** planned output increases increase dependence on suppliers, skilled labor, installation capacity, and working capital.
- **Valuation:** a premium multiple magnifies downside when bookings or 2027 estimates roll over.

Explicit thesis-break conditions

Condition	Interpretation / portfolio response
EUV bookings or backlog decline for two consecutive quarters without a credible timing explanation	Stop adding and re-underwrite demand.
2027 revenue consensus falls materially below the 2026 run-rate	Evidence that 2026 is a peak year; move toward Watch or Trim depending on price.
Gross margin falls below 52% without temporary mix explanation	Signals pricing, utilization, execution, or customer mix damage.
China restrictions impair service or DUV economics beyond current outlook	Reduce valuation multiple and assess domestic Chinese competition.
High-NA adoption slips more than one year at multiple customers	Reduce growth duration and premium multiple.
Price exceeds \$2,100 without matching estimate upgrades	Do not add; move to valuation-risk Watch.

Monitoring Dashboard

Checkpoint	What to watch	Positive signal	Negative signal
October 14, 2026 Q3 results	Revenue, gross margin, net bookings, EUV mix, 2027 commentary	Beat plus higher demand visibility	Beat with cautious 2027 commentary or bookings softness
Q4 2026 / FY2026	Full-year delivery and margin conversion	EUR 43-45B with mid-50s margin	Low-quality mix or margin slippage
2027 EUV capacity	Shipments, backlog, customer acceptance	Capacity sold and pricing firm	Orders pushed out or cancellations
High-NA adoption	Intel throughput; Samsung, SK Hynix, TSMC timing	More tools enter production	Economics unproven or schedules slip
China / export rules	Licenses, service restrictions, revenue mix	20% 2026 assumption manageable	DUV sales or service impaired
Cash conversion	CFO, capex, advances, buybacks	FCF normalizes and buybacks continue	FCF trails earnings without explanation

Conclusion

ASML's fundamental thesis is stronger than it was in September, but the stock is also less forgiving. High-NA customer commitments and the larger-mask initiative support a durable multi-generation moat. The core debate has moved from whether ASML is indispensable to how much of the 2027-2028 earnings curve is already capitalized.

Final recommendation: Hold / add on weakness, conviction 8.0 out of 10. Keep the 7-share position. Do not chase a large add at \$1,769 immediately before the October 14 report. A small add is acceptable only if deliberately building toward about 1.0% and accepting event risk. Preferred accumulation is below \$1,700; better risk/reward is below \$1,550; re-underwrite before aggressive purchase below \$1,450.

Decision hinge: ASML must convert its 2026 demand reset into a durable 2027-2028 earnings base. **What must be true:** EUV demand stays sold out through 2027, High-NA adoption continues, margins remain mid-50s, China risk stays manageable, and cash conversion remains strong. **Research posture:** Hold existing shares; staged Add on weakness.

Evidence Confidence and Limitations

- High confidence: ASML Q2 2026 reported results, full-year guidance, Q3 reporting date, 2025 geographic/customer concentration, and official Samsung High-NA announcement.
- Medium confidence: consensus estimates and valuation multiples because data providers use different currencies, ADR conversions, analyst counts, and update timing.
- This report is pre-Q3; no Q3 actuals or post-print guidance are incorporated.
- Retirement-portfolio-58.xlsx was the sole portfolio source for ASML shares, cost basis, portfolio allocation, workbook price, and fair value.

- The local Portfolio-Summary agent-state files were not present, so manifest, thesis registry, research queue, report registry, and open signals could not be validated or updated. This report is not a PCC publication or authoritative Portfolio CIO status change.

Sources

ASML Q2 2026 results and outlook - <https://investor.asml.com/news-releases/news-release-details/q2-2026-financial-results>

ASML quarterly results calendar - Q3 2026 due October 14 - <https://investor.asml.com/quarterly-results>

ASML 2025 Annual Report - strategic report and risk factors - <https://ourbrand.asml.com/m/8ab959d4926657b/original/asml-2025-annual-report-strategic-report-section.pdf>

ASML and Samsung High-NA / 12-inch photomask collaboration - <https://investor.asml.com/news-releases/news-release-details/samsung-electronics-and-asml-expand-strategic-collaboration-next-generation-semiconductor-manufacturing>

Reuters - ASML High-NA customer adoption and EUV capacity visibility - <https://www.reuters.com/world/asia-pacific/asml-extends-chipmaking-dominance-customers-embrace-high-na-2026-09-14/>

Reuters - High-NA larger-mask productivity initiative - <https://www.reuters.com/world/asia-pacific/asml-work-with-major-chipmakers-use-latest-tools-larger-chips-2026-09-08/>

Reuters - Hyper-NA research roadmap - <https://www.reuters.com/business/asml-zeiss-say-next-generation-chipmaking-technology-may-be-ready-10-years-2026-10-08/>

StockAnalysis - ASML consensus forecast and price targets - <https://stockanalysis.com/stocks/asml/forecast/>

MarketScreener - ASML projected financials and valuation - <https://www.marketscreener.com/quote/stock/ASML-HOLDING-N-V-12002973/finances/>

Yahoo Finance - ASML historical quote - <https://finance.yahoo.com/quote/ASML/history/>

Prepared for investment research use. Facts, consensus estimates, and analyst judgments are separated where practical. This is not personalized financial advice.